OFFERING MEMORANDUM

Driftwood Homes | Detroit, MI

Property	Driftwood Homes
Location	455 Peachtree Drive, Detroit, MI 71997
Property Type	Single-Family Rental
Size	209 homes
Year Built	2012
Offering	Unpriced - Offers Due April 28, 2024

Business Plan Progress

Projected levered IRR is 2.2% with an equity multiple of 1.28x over the hold period. Homes average 1,838 square feet with average monthly rent of $2,480. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Homes average 1,838 square feet with average monthly rent of $2,480. Turn costs average $230,000 per home, and the in-house maintenance team handles most work orders within 8 days. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Supply and Demand

Investor demand for Single-Family Rental assets in Detroit remains strong with recent trades at capitalization rates between 7.99% and 7.99%. Median household income within a 9-mile radius of the property is approximately $333,000 and has grown 3.0% annually. Turn costs average $397,000 per home, and the in-house maintenance team handles most work orders within 9 days. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

The Detroit Single-Family Rental market has experienced absorption of 4300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Rent growth in the submarket has averaged 4.6% annually over the past 10 years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Median household income within a 4-mile radius of the property is approximately $185,000 and has grown 9.9% annually. Driftwood Homes is located in Detroit, MI, a market that has recorded 11.4% population growth over the last five years.

Investor Distributions

Homes average 1,838 square feet with average monthly rent of $2,480. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 3.7% on contributed capital. Turn costs average $144,000 per home, and the in-house maintenance team handles most work orders within 22 days. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Distributions to investors for the quarter were paid at an annualized rate of 7.6% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. Turn costs average $363,000 per home, and the in-house maintenance team handles most work orders within 44 days. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Demographics and Employment

Turn costs average $291,000 per home, and the in-house maintenance team handles most work orders within 28 days. Homes average 1,838 square feet with average monthly rent of $2,480. The Detroit Single-Family Rental market has experienced absorption of 4300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Employment growth is led by healthcare, logistics, education and professional services sectors.

Driftwood Homes is located in Detroit, MI, a market that has recorded 9.8% population growth over the last five years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Median household income within a 1-mile radius of the property is approximately $219,000 and has grown 12.1% annually. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The Detroit Single-Family Rental market has experienced absorption of 1800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Turn costs average $468,000 per home, and the in-house maintenance team handles most work orders within 20 days.

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Risk Considerations

Turn costs average $476,000 per home, and the in-house maintenance team handles most work orders within 47 days. Distributions to investors for the quarter were paid at an annualized rate of 5.4% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 11.8% with an equity multiple of 1.32x over the hold period. Homes average 1,838 square feet with average monthly rent of $2,480.

Projected levered IRR is 3.0% with an equity multiple of 1.20x over the hold period. Turn costs average $316,000 per home, and the in-house maintenance team handles most work orders within 15 days. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns.

Supply and Demand

Investor demand for Single-Family Rental assets in Detroit remains strong with recent trades at capitalization rates between 7.80% and 7.80%. Employment growth is led by healthcare, logistics, education and professional services sectors. Homes average 1,838 square feet with average monthly rent of $2,480. Market vacancy for comparable Single-Family Rental product stands at 3.6%, down from 3.4% two years ago. Median household income within a 9-mile radius of the property is approximately $388,000 and has grown 13.1% annually. The Detroit Single-Family Rental market has experienced absorption of 2900 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Turn costs average $457,000 per home, and the in-house maintenance team handles most work orders within 8 days. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,838 square feet with average monthly rent of $2,480. Employment growth is led by healthcare, logistics, education and professional services sectors. Rent growth in the submarket has averaged 4.9% annually over the past 5 years. Market vacancy for comparable Single-Family Rental product stands at 5.8%, down from 7.0% two years ago.

Business Plan Progress

Homes average 1,838 square feet with average monthly rent of $2,480. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 4.0% on contributed capital.

Turn costs average $187,000 per home, and the in-house maintenance team handles most work orders within 9 days. Homes average 1,838 square feet with average monthly rent of $2,480. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 7.7% on contributed capital. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Submarket Analysis

Employment growth is led by healthcare, logistics, education and professional services sectors. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Median household income within a 7-mile radius of the property is approximately $196,000 and has grown 11.0% annually. Homes average 1,838 square feet with average monthly rent of $2,480. Driftwood Homes is located in Detroit, MI, a market that has recorded 5.3% population growth over the last five years.

Median household income within a 2-mile radius of the property is approximately $374,000 and has grown 8.7% annually. Turn costs average $400,000 per home, and the in-house maintenance team handles most work orders within 3 days. The Detroit Single-Family Rental market has experienced absorption of 2700 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Driftwood Homes is located in Detroit, MI, a market that has recorded 8.4% population growth over the last five years. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Risk Considerations

Distributions to investors for the quarter were paid at an annualized rate of 7.6% on contributed capital. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Turn costs average $53,000 per home, and the in-house maintenance team handles most work orders within 45 days. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Magnolia Homes	Cleveland, OH	10/31/2023	238	$79,513,246	$380,446	5.61%	2005
Thornton Cottages	Oklahoma City, OK	09/22/2025	153	$27,814,646	$133,084	5.75%	1967
Dover Rental Homes	Milwaukee, WI	07/20/2026	285	$83,464,997	$399,354	6.64%	2022
Zephyr Homes	Phoenix, AZ	03/24/2023	307	$51,467,411	$246,256	7.42%	1993
Magnolia Cottages	Des Moines, IA	05/06/2023	266	$33,621,478	$160,868	5.04%	2021
Glenview Rental Homes	Orlando, FL	11/17/2024	204	$87,874,073	$420,450	6.91%	2006
Quarry Cottages	Salt Lake City, UT	12/13/2022	187	$60,132,046	$287,713	5.67%	1987
Nautilus Cottages	Houston, TX	06/30/2026	183	$33,101,045	$158,378	7.22%	1995
Quincy Cottages	Greenville, SC	05/17/2023	105	$59,965,468	$286,916	7.26%	1998
Sable Homes	Albuquerque, NM	04/19/2023	107	$64,452,663	$308,386	5.08%	2018
Valley Rental Homes	Tampa, FL	09/10/2024	283	$75,668,188	$362,049	7.68%	1976
Oakmont Cottages	Tampa, FL	05/03/2026	184	$80,085,374	$383,184	7.14%	1974
Banyan Rental Homes	Pittsburgh, PA	01/12/2023	230	$62,431,536	$298,715	5.71%	1980
Juniper Cottages	Boston, MA	01/23/2022	192	$32,873,405	$157,289	7.22%	1978
Oakmont Rental Homes	Tampa, FL	05/01/2024	226	$62,855,689	$300,745	7.57%	1996
Onyx Rental Homes	Pittsburgh, PA	05/10/2026	242	$36,827,422	$176,208	6.19%	1969
Garnet Homes	Norfolk, VA	07/10/2026	218	$39,344,526	$188,251	5.70%	1983
Falcon Rental Homes	Grand Rapids, MI	04/26/2025	251	$63,373,619	$303,223	5.25%	1985
Falcon Rental Homes	Austin, TX	11/27/2023	296	$25,891,622	$123,883	7.48%	2004
Hollis Rental Homes	Pittsburgh, PA	12/14/2022	175	$49,378,084	$236,259	5.11%	1978
Ivy Cottages	Richmond, VA	12/01/2022	225	$36,710,053	$175,646	7.15%	2009
Pelican Homes	Minneapolis, MN	10/30/2023	142	$70,132,272	$335,561	6.96%	2016
Magnolia Cottages	Omaha, NE	06/11/2023	293	$86,455,282	$413,662	7.76%	2008
Eastlake Cottages	Las Vegas, NV	08/02/2026	313	$51,654,163	$247,149	5.76%	2014
Magnolia Rental Homes	Birmingham, AL	04/13/2022	188	$37,685,726	$180,314	6.51%	1990
Harbor Homes	Louisville, KY	04/26/2023	276	$59,204,793	$283,277	5.83%	1974
Heritage Rental Homes	Madison, WI	05/26/2025	176	$41,136,912	$196,827	6.68%	1985
Foxglove Rental Homes	Albuquerque, NM	02/26/2025	182	$41,017,351	$196,255	6.92%	2022
Windmill Cottages	Buffalo, NY	12/20/2023	117	$40,099,037	$191,861	7.98%	1971
Sterling Homes	Albany, NY	07/30/2023	239	$35,026,163	$167,589	6.74%	1967
Juniper Cottages	Allentown, PA	08/04/2026	258	$78,748,166	$376,785	7.21%	2021
Garnet Homes	Pittsburgh, PA	06/13/2022	191	$76,056,230	$363,905	7.35%	1973
Oakmont Rental Homes	Riverside, CA	12/26/2025	222	$33,266,885	$159,172	6.41%	2012
Zephyr Cottages	New Orleans, LA	10/16/2024	153	$25,978,377	$124,298	8.19%	2014
Hawthorne Rental Homes	New Orleans, LA	01/25/2022	185	$63,339,852	$303,061	6.70%	1971
Laurel Cottages	Buffalo, NY	07/12/2024	121	$84,509,411	$404,351	7.12%	1992
Pinecrest Rental Homes	Houston, TX	11/12/2025	309	$35,969,304	$172,102	5.04%	1969
Aspen Homes	Naperville, IL	01/08/2026	156	$32,534,857	$155,669	5.39%	2018
Kestrel Cottages	Tempe, AZ	11/29/2024	240	$42,123,480	$201,548	6.90%	1984
Bluestone Cottages	Cleveland, OH	07/01/2022	171	$71,852,404	$343,791	5.52%	2017
Westgate Homes	Nashville, TN	04/13/2026	142	$33,046,775	$158,119	5.66%	2015
Harbor Rental Homes	Newark, NJ	04/08/2024	254	$65,029,294	$311,145	7.21%	1973

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Improvements Description

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Turn costs average $318,000 per home, and the in-house maintenance team handles most work orders within 17 days. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Driftwood Homes was originally constructed in 2012 and consists of 209 homes in a building of 13 stories. Mechanical systems include rooftop package units and central plant equipment of varying age.

Mechanical systems include rooftop package units and central plant equipment of varying age. Homes average 1,838 square feet with average monthly rent of $2,480. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Operating Performance

Effective gross income for the trailing period was $17,000, representing a 4.8% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 5.41x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 3.1% of collected revenue and are included in operating expenses. Operating expenses totaled $69,000 or approximately 30.16 per square foot, with real estate taxes representing the largest line item.

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The going-in capitalization rate of 6.44% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Turn costs average $468,000 per home, and the in-house maintenance team handles most work orders within 33 days. Homes average 1,838 square feet with average monthly rent of $2,480.

Improvements Description

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The roof is a 19-year membrane system with an estimated remaining useful life of 7 years. Mechanical systems include rooftop package units and central plant equipment of varying age. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Common area interiors have been refreshed within the last 4 years and are in average to good condition. Homes average 1,838 square feet with average monthly rent of $2,480.

Common area interiors have been refreshed within the last 6 years and are in average to good condition. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Mechanical systems include rooftop package units and central plant equipment of varying age. Driftwood Homes was originally constructed in 2012 and consists of 209 homes in a building of 6 stories.

Income and Expense Review

Turn costs average $210,000 per home, and the in-house maintenance team handles most work orders within 24 days. The going-in capitalization rate of 5.52% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.09x on a trailing basis against a covenant minimum of 1.20x. Homes average 1,838 square feet with average monthly rent of $2,480. Management fees are calculated at 5.5% of collected revenue and are included in operating expenses. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Management fees are calculated at 5.6% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $82,000, representing a 5.0% increase over the prior year. Debt service coverage ratio was 5.71x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $140,000 or approximately 40.00 per square foot, with real estate taxes representing the largest line item.

Construction Details

Mechanical systems include rooftop package units and central plant equipment of varying age. Turn costs average $288,000 per home, and the in-house maintenance team handles most work orders within 23 days. Driftwood Homes was originally constructed in 2012 and consists of 209 homes in a building of 2 stories. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Common area interiors have been refreshed within the last 5 years and are in average to good condition. Mechanical systems include rooftop package units and central plant equipment of varying age. The roof is a 33-year membrane system with an estimated remaining useful life of 10 years. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Operating Performance

Net operating income is projected to grow at a compound annual rate of 6.8% over the hold period. Management fees are calculated at 7.8% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.45x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Homes average 1,838 square feet with average monthly rent of $2,480.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Mesa Rental Homes	2.3 mi	1981	Studio	$2,353.95	96.2%	1 mo. free
Juniper Rental Homes	2.3 mi	1970	Inline	$2,471.16	88.1%	None
Palisade Cottages	1.6 mi	2017	1BR	$2,421.39	88.1%	$500
Banyan Rental Homes	2.4 mi	2004	Inline	$2,602.97	92.6%	1 mo. free
Aspen Rental Homes	1.9 mi	1973	Inline	$2,240.81	97.2%	None
Newport Cottages	4.6 mi	1988	Suite	$2,620.82	89.1%	$500
Falcon Homes	1.4 mi	2022	Bay	$2,730.41	92.6%	$500
Upland Rental Homes	2.3 mi	2014	Studio	$2,301.59	86.3%	1 mo. free
Harbor Cottages	2.1 mi	2009	Inline	$2,179.15	89.7%	$500
Cypress Cottages	1.0 mi	2006	1BR	$2,651.43	92.2%	1 mo. free
Wexford Cottages	2.6 mi	2022	Bay	$2,214.16	87.0%	None
Foxglove Cottages	1.0 mi	1994	Bay	$2,207.73	91.9%	$500
Lantern Homes	0.2 mi	1970	1BR	$2,415.31	95.1%	None
Meridian Homes	2.5 mi	2018	Inline	$2,533.74	94.7%	1 mo. free
Banyan Cottages	1.7 mi	1980	Suite	$2,384.16	97.3%	1 mo. free
Valley Cottages	4.5 mi	1970	Studio	$2,673.41	96.7%	None
Keystone Homes	4.4 mi	2020	2BR	$2,209.55	96.3%	1 mo. free
Sable Cottages	2.4 mi	1983	Studio	$2,515.02	90.0%	$500
Beacon Homes	0.4 mi	1993	Bay	$2,390.24	96.6%	1 mo. free
Yarrow Homes	1.0 mi	2007	Unit	$2,497.97	91.3%	$500
Newport Homes	4.2 mi	1978	Unit	$2,799.44	95.1%	None
Indigo Cottages	3.4 mi	1982	Suite	$2,547.10	90.4%	1 mo. free
Westgate Homes	4.9 mi	1979	Inline	$2,227.28	92.8%	$500
Calloway Homes	2.8 mi	2014	Inline	$2,861.45	94.6%	None
Cypress Rental Homes	3.3 mi	2011	Studio	$2,799.08	96.3%	None
Timberline Homes	3.4 mi	1981	Bay	$2,701.80	96.0%	None
Redwood Cottages	4.5 mi	1977	1BR	$2,642.83	87.8%	1 mo. free
Bayview Rental Homes	4.7 mi	2000	Bay	$2,963.91	97.9%	None
Mesa Rental Homes	4.8 mi	2001	Studio	$2,701.71	86.9%	None
Beacon Cottages	4.8 mi	1974	2BR	$2,697.22	91.3%	1 mo. free
Highland Rental Homes	4.8 mi	2009	Suite	$2,490.30	87.8%	None
Windmill Rental Homes	1.1 mi	2004	Bay	$2,386.56	92.1%	None
Lakeshore Cottages	1.7 mi	2021	Inline	$2,771.24	95.0%	None
Harbor Homes	3.1 mi	2006	Suite	$2,386.24	89.9%	None
Oakmont Cottages	0.4 mi	1988	1BR	$2,242.47	95.0%	None
Laurel Homes	3.5 mi	1998	1BR	$2,342.17	86.3%	None
Ivy Homes	2.4 mi	2002	2BR	$2,643.47	89.8%	1 mo. free
Cobalt Rental Homes	3.4 mi	1998	Studio	$2,245.07	96.0%	None
Cedar Homes	3.6 mi	1993	Inline	$2,298.44	92.2%	None
Raven Homes	0.9 mi	2001	Studio	$2,177.83	97.4%	$500
Beacon Rental Homes	3.9 mi	1990	Unit	$2,905.52	86.1%	None
Driftwood Cottages	0.3 mi	1979	1BR	$2,686.32	92.3%	1 mo. free

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Property Operations

Service requests are tracked through a work-order system with an average completion time of 14 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,838 square feet with average monthly rent of $2,480.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 48 additional team members. Collections for the period were 89.3% of billed charges, with bad debt of 7.0% of gross potential income. Homes average 1,838 square feet with average monthly rent of $2,480. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Demographics and Employment

Driftwood Homes is located in Detroit, MI, a market that has recorded 9.1% population growth over the last five years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,838 square feet with average monthly rent of $2,480. Rent growth in the submarket has averaged 6.3% annually over the past 9 years.

Employment growth is led by healthcare, logistics, education and professional services sectors. Driftwood Homes is located in Detroit, MI, a market that has recorded 10.4% population growth over the last five years. Investor demand for Single-Family Rental assets in Detroit remains strong with recent trades at capitalization rates between 5.82% and 5.82%. Turn costs average $10,000 per home, and the in-house maintenance team handles most work orders within 38 days. Rent growth in the submarket has averaged 4.2% annually over the past 4 years.

Management Commentary

Turn costs average $295,000 per home, and the in-house maintenance team handles most work orders within 18 days. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,838 square feet with average monthly rent of $2,480. Collections for the period were 94.7% of billed charges, with bad debt of 6.5% of gross potential income.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 22 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 4th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Homes average 1,838 square feet with average monthly rent of $2,480.

Submarket Analysis

Homes average 1,838 square feet with average monthly rent of $2,480. Driftwood Homes is located in Detroit, MI, a market that has recorded 6.7% population growth over the last five years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Employment growth is led by healthcare, logistics, education and professional services sectors.

Driftwood Homes is located in Detroit, MI, a market that has recorded 8.3% population growth over the last five years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Market vacancy for comparable Single-Family Rental product stands at 7.1%, down from 7.9% two years ago. Turn costs average $146,000 per home, and the in-house maintenance team handles most work orders within 15 days. Employment growth is led by healthcare, logistics, education and professional services sectors.

Leasing and Marketing

Turn costs average $186,000 per home, and the in-house maintenance team handles most work orders within 29 days. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Homes average 1,838 square feet with average monthly rent of $2,480.

Collections for the period were 92.4% of billed charges, with bad debt of 3.9% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 20th business day. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 20 hours. Turn costs average $359,000 per home, and the in-house maintenance team handles most work orders within 35 days.

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Risk Considerations

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,838 square feet with average monthly rent of $2,480. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 7.1% on contributed capital. The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. Turn costs average $93,000 per home, and the in-house maintenance team handles most work orders within 27 days.

Homes average 1,838 square feet with average monthly rent of $2,480. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 3.9% on contributed capital. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Turn costs average $350,000 per home, and the in-house maintenance team handles most work orders within 44 days. Projected levered IRR is 12.6% with an equity multiple of 1.35x over the hold period.

Market Overview

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Turn costs average $74,000 per home, and the in-house maintenance team handles most work orders within 38 days. Median household income within a 8-mile radius of the property is approximately $8,000 and has grown 2.3% annually. Driftwood Homes is located in Detroit, MI, a market that has recorded 3.0% population growth over the last five years.

Market vacancy for comparable Single-Family Rental product stands at 7.7%, down from 4.9% two years ago. Median household income within a 9-mile radius of the property is approximately $316,000 and has grown 7.1% annually. Turn costs average $374,000 per home, and the in-house maintenance team handles most work orders within 15 days. Employment growth is led by healthcare, logistics, education and professional services sectors. Driftwood Homes is located in Detroit, MI, a market that has recorded 13.4% population growth over the last five years.

Investment Overview

Distributions to investors for the quarter were paid at an annualized rate of 3.8% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Turn costs average $38,000 per home, and the in-house maintenance team handles most work orders within 15 days. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Homes average 1,838 square feet with average monthly rent of $2,480. Projected levered IRR is 6.2% with an equity multiple of 1.24x over the hold period. Turn costs average $165,000 per home, and the in-house maintenance team handles most work orders within 37 days. Distributions to investors for the quarter were paid at an annualized rate of 4.6% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Demographics and Employment

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Market vacancy for comparable Single-Family Rental product stands at 11.6%, down from 5.9% two years ago. Rent growth in the submarket has averaged 5.4% annually over the past 7 years. Driftwood Homes is located in Detroit, MI, a market that has recorded 10.0% population growth over the last five years.

Homes average 1,838 square feet with average monthly rent of $2,480. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Investor demand for Single-Family Rental assets in Detroit remains strong with recent trades at capitalization rates between 5.56% and 5.56%. Rent growth in the submarket has averaged 7.9% annually over the past 12 years. Employment growth is led by healthcare, logistics, education and professional services sectors. Driftwood Homes is located in Detroit, MI, a market that has recorded 5.3% population growth over the last five years.

Risk Considerations

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Turn costs average $108,000 per home, and the in-house maintenance team handles most work orders within 7 days. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. Homes average 1,838 square feet with average monthly rent of $2,480.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Mesa Cottages	Seattle, WA	02/05/2023	166	$80,935,442	$387,251	5.83%	1990
Bluestone Cottages	Allentown, PA	11/13/2022	256	$62,972,462	$301,304	5.50%	2017
Upland Rental Homes	Tempe, AZ	06/18/2025	223	$79,261,771	$379,243	6.22%	1983
Quincy Cottages	Milwaukee, WI	05/28/2026	156	$60,021,071	$287,182	5.90%	1983
Valley Homes	Oklahoma City, OK	07/02/2026	218	$67,674,469	$323,801	7.11%	2008
Windmill Homes	San Diego, CA	06/06/2024	264	$31,731,675	$151,826	7.82%	1991
Sable Cottages	Naperville, IL	02/09/2026	279	$61,276,438	$293,189	7.93%	1994
Saddlebrook Rental Homes	Orlando, FL	11/20/2022	212	$55,473,573	$265,424	7.97%	1975
Whitaker Homes	Boise, ID	11/19/2022	241	$35,102,051	$167,952	5.66%	1968
Maple Cottages	Raleigh, NC	03/14/2022	263	$37,671,864	$180,248	5.20%	2010
Birchwood Homes	Pittsburgh, PA	10/31/2022	119	$50,231,718	$240,343	5.92%	2018
Foxglove Rental Homes	Sacramento, CA	05/03/2024	109	$40,182,559	$192,261	5.03%	1992
Highland Homes	Savannah, GA	08/03/2024	232	$75,296,806	$360,272	6.29%	1989
Orchard Cottages	Dallas, TX	10/13/2022	273	$77,194,849	$369,353	7.43%	1999
Cobalt Rental Homes	Riverside, CA	01/01/2026	309	$74,609,218	$356,982	5.65%	2022
Juniper Cottages	San Diego, CA	10/11/2024	282	$67,102,498	$321,065	7.99%	1976
Bayview Homes	Detroit, MI	03/22/2025	174	$38,068,269	$182,145	6.71%	2001
Canyon Cottages	Raleigh, NC	10/25/2022	171	$47,730,811	$228,377	5.64%	2019
Amberly Cottages	New Orleans, LA	02/18/2023	207	$56,744,496	$271,505	6.80%	1987
Whitaker Cottages	Jacksonville, FL	09/29/2023	293	$78,828,236	$377,169	5.51%	2021
Saddlebrook Rental Homes	Naperville, IL	03/07/2023	105	$48,786,218	$233,427	6.93%	1999
Dover Homes	Baltimore, MD	11/15/2024	164	$73,397,050	$351,182	7.76%	2005
Dover Rental Homes	Albany, NY	03/26/2024	218	$67,921,423	$324,983	7.26%	1975
Bluestone Cottages	Pittsburgh, PA	08/21/2023	192	$36,307,989	$173,722	6.77%	1994
Verde Cottages	Cleveland, OH	11/22/2025	208	$73,009,873	$349,330	7.71%	2005
Cypress Rental Homes	Atlanta, GA	03/03/2024	192	$46,782,552	$223,840	6.57%	2000
Newport Rental Homes	New Orleans, LA	02/27/2025	205	$37,962,504	$181,639	7.32%	2006
Upland Cottages	Boise, ID	06/27/2023	132	$59,955,719	$286,869	6.63%	1989
Upland Rental Homes	Salt Lake City, UT	04/12/2022	149	$60,219,844	$288,133	7.40%	1985
Brookside Cottages	Atlanta, GA	09/29/2022	174	$65,935,117	$315,479	7.42%	1992
Bayview Cottages	San Antonio, TX	01/17/2024	208	$80,086,591	$383,189	7.22%	1988
Indigo Rental Homes	Buffalo, NY	04/27/2026	155	$46,049,367	$220,332	7.44%	2021
Saddlebrook Rental Homes	Denver, CO	04/06/2025	292	$45,862,293	$219,437	7.98%	1982
Kestrel Homes	Des Moines, IA	10/19/2023	170	$65,618,486	$313,964	6.63%	2013
Marlow Cottages	Portland, OR	07/21/2022	309	$82,625,736	$395,338	6.11%	1997
Jasper Cottages	Sacramento, CA	10/12/2022	249	$67,587,409	$323,385	7.98%	1991
Pelican Homes	Cincinnati, OH	01/11/2025	112	$67,025,664	$320,697	5.45%	2010
Westgate Homes	Naperville, IL	04/09/2024	238	$37,861,205	$181,154	7.60%	1978
Driftwood Rental Homes	Omaha, NE	09/15/2025	194	$29,390,890	$140,626	7.60%	1981
Keystone Cottages	Dallas, TX	09/11/2024	130	$34,039,780	$162,870	6.78%	2022
Glenview Rental Homes	Indianapolis, IN	09/18/2022	155	$56,291,850	$269,339	6.70%	2012

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Building Systems

Common area interiors have been refreshed within the last 12 years and are in average to good condition. Driftwood Homes was originally constructed in 2012 and consists of 209 homes in a building of 13 stories. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Turn costs average $179,000 per home, and the in-house maintenance team handles most work orders within 47 days. Homes average 1,838 square feet with average monthly rent of $2,480. Driftwood Homes was originally constructed in 2012 and consists of 209 homes in a building of 17 stories.

Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $165,000 or approximately 43.20 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $114,000, representing a 12.5% increase over the prior year. Turn costs average $108,000 per home, and the in-house maintenance team handles most work orders within 24 days.

The going-in capitalization rate of 7.73% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $362,000, representing a 7.4% increase over the prior year. Debt service coverage ratio was 7.56x on a trailing basis against a covenant minimum of 1.20x. Turn costs average $63,000 per home, and the in-house maintenance team handles most work orders within 25 days. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Building Systems

Driftwood Homes was originally constructed in 2012 and consists of 209 homes in a building of 5 stories. Homes average 1,838 square feet with average monthly rent of $2,480. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Turn costs average $336,000 per home, and the in-house maintenance team handles most work orders within 36 days. Common area interiors have been refreshed within the last 9 years and are in average to good condition. Homes average 1,838 square feet with average monthly rent of $2,480. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Valuation Discussion

Management fees are calculated at 4.4% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 7.3% over the hold period. Effective gross income for the trailing period was $20,000, representing a 8.7% increase over the prior year. Operating expenses totaled $65,000 or approximately 23.73 per square foot, with real estate taxes representing the largest line item. Turn costs average $320,000 per home, and the in-house maintenance team handles most work orders within 47 days.

Operating expenses totaled $447,000 or approximately 19.22 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 5.0% of collected revenue and are included in operating expenses. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Turn costs average $85,000 per home, and the in-house maintenance team handles most work orders within 13 days. Net operating income is projected to grow at a compound annual rate of 6.6% over the hold period. Homes average 1,838 square feet with average monthly rent of $2,480.

Construction Details

Homes average 1,838 square feet with average monthly rent of $2,480. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The roof is a 24-year membrane system with an estimated remaining useful life of 4 years. Common area interiors have been refreshed within the last 9 years and are in average to good condition. Turn costs average $33,000 per home, and the in-house maintenance team handles most work orders within 35 days. Mechanical systems include rooftop package units and central plant equipment of varying age.

Turn costs average $251,000 per home, and the in-house maintenance team handles most work orders within 5 days. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Homes average 1,838 square feet with average monthly rent of $2,480. Driftwood Homes was originally constructed in 2012 and consists of 209 homes in a building of 25 stories. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Mechanical systems include rooftop package units and central plant equipment of varying age.

Financial Analysis

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Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of MI. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. This document relates solely to Driftwood Homes and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. This document relates solely to Driftwood Homes and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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